



Renewable Energy & Green Financing  
**Product Program**  
April, 2024

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## **Product Program – Renewable Energy & Green Financing**

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## **A. INTRODUCTION:**

### **a) Product detail / Summary**

Pakistan's economy is currently facing the dual challenge of energy shortage and climate change. The inadequate supply of energy has severely impacted the growth of industries/businesses and the welfare of public in general. Similarly, the effects of climate change have been observed in the form of devastating floods, droughts, heat waves and changing weather patterns. These changes essentially inhibit our ability to develop sustainability. In view of the worsening power generation and consequent availability of power by the government coupled with high cost of power generation resulting in high unit cost, it is imperative for us as a nation to expand into alternate energy production options which are cost efficient and non-dependent on external factors.

Our aim is to provide concessionary financing for large renewable energy power projects as well as for small scale renewable energy solutions to further increase the scope of energy supply to the residential, commercial and agriculture sector.

Bank will facilitate under:

1. Standard Finance Facility
2. Finance under SBP Schemes

### **b) Business Objective & Product Strategy**

The product primarily facilitates installation of renewable energy solutions on properties.

JS Bank intends to partner with renewable energy solution providers to create a provision for renewable equipment to be financed through JS Bank branches in the covered regions.

All segments of society will be facilitated either through Bank's own initiative or under Government's / SBP's special schemes promoting sustainability and green environment.

The objective to offer above finance is to contribute towards Bank's profitability through:

- Acquiring "New" customers from targeted demographics to improve portfolio sizes.
- Improving "Products Per Customer" (PPC) ratio through cross selling to existing asset customers as well as deposit account holders
- Enhance brand visibility of the Bank.
- Strategic business partnerships

### **c) Strategic Alliances & Bulk Acquisitions**

Bank will enter in strategic alliances/partnerships with service providers, FinTech companies, etc. for expanding the outreach for Bulk acquisitions.

In order to expedite the process of doing bulk acquisitions, tailor-made product offering with customer selection criteria for strategic alliances including employee banking will be done.

### **d) Corporate Deals & Bundle Packages:**

Sales Distribution team in consultation with Product teams will engage and structure Corporate and/or bundle packages either with Employee Banking Relationships or other Bank relationships for overall business expansion.

**e) Anchor Model**

Additional leads for industrial / business customers may be generated through the anchor model, whereby JS Bank intends to partner with renewable solution providers to connect potential borrowers to the Bank.

**f) Industry Overview**

| Solar Energy     |                           |                              |                          |
|------------------|---------------------------|------------------------------|--------------------------|
| Description      | AEDB Certified Installers | Number of Solar Installation | Total Installed Capacity |
| <b>2023</b>      | 175                       | 33,472                       | 546.9 MW                 |
| <b>JSBL 2023</b> | 118                       | 406                          | 3.1MW (Residential)      |

It has been envisioned that by the year 2025 the share of renewable energy in the overall energy mix will be increased from the existing 4% while by the year 2030 it will be increased to 30%. Thirty-six (36) wind power projects of 1,835 MW, seven (07) solar projects of 530 MW, Eight (08) sugar mill based bagasse co-generation projects of 259.1 MW capacity were operational for providing electricity to grid during FY 2022-23. Apart from large scale solar PV projects, the Government of Pakistan also encouraged utilization of solar energy technology at consumer end across domestic, commercial, industrial sectors. As of 30th June 2023, the number of Net-Metering based solar installations had reached up to 63,703 with a cumulative capacity of 1,055.03 MW. From 1st July 2022 to 30th June 2023, the addition in number of Net-Metering based solar installations is 33,472 with capacity addition of 546.93 MW. As of 30th June 2023, the number of certified installers has reached up to 327 with 175 new installers enlisted between 1st July 2022 to 30th June 2023. To reduce the impact of prevailing high prices of oil and LNG in the international markets resulting in high electricity tariffs and drain of precious foreign exchange, the Government has approved the Framework Guidelines for Fast-Track Solar PV Initiatives 2022, for fast-track deployment of solar PV. (Source Ministry of Energy Power Division Year Book 2022-23).

**g) Product Feasibility**

Renewable energy is promoted across the globe in view of carbon emissions impacting environment and conventional energy production getting expensive day by day. IN Pakistan scope of renewable energy and thus its facilitation through financing opportunities is much sought in view of energy cost multiplying over last few years.

Such facilities going into overdue and NPL is very rare in view of cost differential and investment break even within 5-7 years. This can only happen in situations of faulty equipment and related services thus we partner with vendors who qualify as per internal evaluation and at minimum be certified by Alternate Energy Development Board (AEDB).

JS Bank present portfolio is based on SBP refinance scheme thus is very affordable for customers and further is backed by USAID credit guarantee coverage hence minimizes credit losses, if any do occur,

**h) Competitive Analysis.**

All Scheduled banks have been given refinance scheme by SBP but most of banks use it to facilitate corporate and commercial banks. We lead financing for domestic/residential facilitation with highest portfolio in banking circles. In addition, we facilitate both SME and Agri customers as well for lowering their cost of production.

**i) Product Suite**

- i. Residential GharApna
  - a) GharApna – KIBOR Based
  - b) GharApna – SBP Scheme
  - c) JS Her – Solar Finance
    - o KIBOR Based
    - o SBP Schemes
  - d) GCF (Green Climate Fund)
  - e) GCF - Women
- ii. SME (Smart Roshni)
  - a) Smart Roshni – KIBOR Based
  - b) SBP Schemes
    - 1. Smart Roshni – SBP Renewable Scheme
    - 2. PMYB&ALS
    - 3. SAAF
  - c) JS Her – Smart Roshni
    - o KIBOR Based
    - o SBP Schemes
  - d) GCF
  - e) GCF - Women
- iii. Agriculture
  - a) JS Agri Energy Finance KIBOR Based
  - b) SBP Schemes
    - 1. JS Agri Energy Finance – SBP Scheme

- 2. PMYB&ALS
- c) JS Her – Agri Energy Finance
  - o KIBOR Based
  - o SBP Schemes
- d) GCF
- e) GCF - Women

**i. Residential GharApna**

JS GharApna Solar Solution Financing has been offering term finance for Solar Solutions only, this is now expanded to facilitate other renewable energy options available for residential purposes. This product has been designed to overcome the issue of insufficient supply of energy to residential sector and provides an ideal opportunity to become less dependent on the grid for their energy requirements and reduce their electricity bills for their domestic needs.

**a. GharApna - KIBOR Based**

Financing under residential GharApna based on KIBOR linked rates where financing under SBP Schemes is either discontinued, fully utilized or not covered.

**b. GharApna – SBP Scheme**

Financing under SBP Refinance Scheme for Renewable Energy advised wide SBP circular IH&SMEFD Circular No. 3 of 2016: amended & extended overtime. The scheme is available for consumers willing to install facility using renewable energy sources for generation of electricity ranging from 4 KW to 1000 KW (0.004 MW to 1 MW) for own domestic use and/or for supply to the distribution company (Net Metering) under category II.

**c. JS – HER Solar Finance**

Financing under residential GharApna specifically for female customers will be under this variant. They will be eligible for financing under both pricing options i.e., KIBOR based or SBP Schemes.

As a part of our Banking on Equality (BOE) initiative based on State Bank of Pakistan's broader initiative of financial inclusion and enablement, this variant scope of women centricity will provide extra benefits on top of discounted features to the existing relevant finance variant.

All channels will be advised to explain benefits of facilities under this variant for which separate product category (ies) will be opened. Female customers will be allowed following relaxations based on customer profile (Income segment, Age, City, etc.)

- i. 40-60% discount in Processing fees
- ii. 1- to 2 % discount in Markup rate / Pricing
- ii. Up to 50% discount in early termination charges
- iv. Free balloon payments allowed up to 40% of the outstanding principle in a year.

All features' criteria of mother product will be available under this variant as applicable. Including coborrower. Co-borrowers under this product variant can only be secondary



borrowers while female customer has to be primary borrower.

Any relaxation over and above the above defined 4 criteria will be allowed by Head of Products and Analytics.

All distribution channels will specifically assign certain %age of annual sales target to this product variant for contributing to Bank's overall women diversity and inclusion initiative.

**d. GCF**

JS Bank Limited will be offering concessional financing, under its Green Climate Fund ("GCF") project the "Pakistan Distributed Solar Project" ("PDSP"), for solar Solutions to residential customers as specified under category II of the SBP Scheme for Renewable Energy, making sustainable energy solutions more accessible. The aim of PDSP is to empower households across Pakistan to harness the benefits of solar power.

Sign Off policy of the Accredited Entity approved by the board of directors of the Accredited Entity, dated 1 May 2009 and last reviewed on 2 March 2022, pursuant to which the Integrated Risk Management Committee has approved the Product Program (the "Sign Off Policy");

Under PDSP, JS Bank aims to deploy 43MW of Solar Solutions across Pakistan in 10 years; majority of which will be under this component.

**e. GCF – Women**

This is a subcategory of GCF exclusively for women led households. This initiative empowers women to lead the way in adopting clean energy solutions for their homes, fostering a more sustainable and inclusive environment. Up to 30% of GCF portfolio will be covered under this subcategory.

**ii. SME (Smart Roshni)**

The undersupply of energy has severely impacted the growth of industries/businesses and the welfare of public in general. This product aims at imparting financing solutions/facilitations to industries/organizations for producing energy for commercial consumptions. The facility shall be provided for power generation using alternative/renewable energy sources (i.e., solar, wind, hydro, biogas, biofuels, and geothermal as fuel). Such solutions will be used for commercial / industrial units / projects as well as Non-Commercial/Welfare units (i.e., Hospitals, Educational offices, Clubs, Guest Houses, Govt Offices, etc.).

**a. Smart Roshni KIBOR Based**

Financing under SME (Smart Roshni) based on KIBOR linked rates where financing under SBP Schemes is either discontinued, fully utilized, or not covered.

**b. SBP Schemes**

All features and criteria of respective SBP Scheme as amended from time to time will be applied in spirit of promoting Renewable Energy facilitation.

**1. Smart Roshni**

The refinance scheme developed by SBP and advised vide its circular IH&SMEFD

Circular No. 3 of 2016; amended & extended overtime, provides concessionary financing requiring alternative / renewable energy sources for large renewable energy projects as well as small scale renewable energy solutions. Scheme has multiple categories under which Bank can finance to customers and vendors.

Under Smart Roshni & GharApna we will generally be financing under Category II under which customers willing to install facility using renewable energy sources for generation of electricity ranging from 4 KW to 1000 KW (0.004 MW to 1 MW) for own use and/or for supply to the distribution company (Net Metering).

2. **PMYB&ALS (Prime Minister's Youth Business & Agriculture Loan Scheme)**  
Small enterprises stimulate economic growth by providing employment opportunities, fostering innovation and reducing income inequalities. Lack of adequate financing facilities from formal sources is one of the key challenges faced by the small enterprises and youth entrepreneurs. Government of Pakistan is cognizant of this situation and is fully committed to enable youth to avail affordable financing from banks for establishing new business or strengthening their existing business.

Government of Pakistan has taken initiative to provide entrepreneurial opportunities to youth of Pakistan and for uplifting the essential SME & Agri sector by offering affordable loans under Prime Minister's Youth Business & Agriculture Loan Scheme (PMYB&ALS) vide its circular IH&SMEFD Circular No. 12 of 2022. Under this program PMYB&ALS Scheme allows financing to small businesses to fulfill their financing requirement. We will facilitate them for their energy requirements through financing option of Renewable energy solution. All the terms and conditions of this scheme will apply.

3. **SAAF (SME Asaan Finance)**  
Under this program SAAF Scheme vide SBP circular IH&SMEFD Circular No. 09 dated August 16, 2021 allows financing to SME to fulfill their financing requirement. We will facilitate them for their energy requirements through financing option of Renewable energy solution. All the terms and conditions of this scheme will apply.

**c. JS – Her Smart Roshni**

Refer to JS Her GharApna content, finance specifically for female customers/entrepreneur's.

**d. GCF**

Refer to JS GharApna - GCF content, finance specifically for female customers / entrepreneurs.

**e. GCF – Women**

Refer to JS GharApna – GCF Women content, finance specifically for female customers / entrepreneurs.

**iii. Agriculture**

Energy shortage problems not only affect the life of individuals but also hinders the economic development of the country. Most business sectors including agricultural have been affected severely due to long power outages resulting in huge economic loss. The current share of renewable energy is insufficient in the total energy mix of Pakistan.

The farmers and other Agri-based industries primarily face two main problems: Irregularity of electrical inputs due to the shortage of supply and high prices of petrol/diesel leading to higher costs of energy through generators. Installation of generators to get the farm equipment running further increases the cost of operations for farmers. Energy crises have affected domestic lives as well as the standard of living of the farmers. Electricity through renewable solutions has emerged as a hope for those who are making efforts of make their ends meet.

**a. JS Agri Energy Finance KIBOR Based**

The purpose of JS Agri Energy Financing is to facilitate in generating electricity via installations of Renewable Equipment - for Agri-based business that have traditional farm holdings with major/minor crops and also non-farm sector such as dairy, fisheries, livestock, cold storage/silos & poultry on KIBOR linked rates.

**b. SBP Schemes**

**1. JS Agri Energy Finance**

Refer to SBP Renewable Energy Scheme mentioned above.

**2. PMYB&ALS**

Refer to SBP's PMYB&ALS scheme mentioned above.

**c. JS – Her Agri Energy Finance**

Refer to JS GharApna - content, finance specifically for female customers / entrepreneurs.

**d. GCF**

Refer to JS GharApna - GCF content, finance specifically for female customers / entrepreneurs.

**e. GCF – Women**

Refer to JS GharApna – GCF Women content, finance specifically for female customers / entrepreneurs.

**j) Target Market:**

Potential Renewable Finance customers hailing from Salaried and Non-Salaried segments from all Income and social classes.

These segments are broadly characterized below:

**1. Salaried**

Salaried customers of all types of employers will be entertained.

- i. Permanent
  - a. Resident
- ii. Contractual
  - a. Resident
- iii. Government, Semi Government and Armed Forces
- iv. Employee banking/private banking
- v. JS Group staff
- vi. JS Bank staff

**2. Self Employed**

- i. Businesspersons
- ii. Professionals

**3. Others**

- i. Retired
- ii. Rental Income
- iii. Agri Income
- iv. Foreign Remittances
- v. Deposit, Certificates, and Instruments
- vi. Etc.

**Related Parties:** Transactions with all individuals defined as related party be relevant Prudential Regulation of SBP shall be at arm's length basis and on normal terms and conditions as applicable for other customers of the Bank in line with regulatory requirement. The Bank shall ensure that the appraisal standards are not compromised in such cases and market rates are used for such persons.

**k) Geographical Outreach**

The portfolio acquired through this program shall include properties in all areas where JSBL has branches, including rural and urban areas in all cities. Cases where collection & Recovery setup does not exist, Branch Banking will provide full support for the cases sourced & recommended by them.

For JS Agri Finance, it will be done through designated branches only.

**l) Sales / Solicitation Channels**

Renewable Energy product may be sourced through all or any of following channels:

- 1. Distribution Teams of Retail Banking Group
- 2. SME Business Team
- 3. Agri Finance Business Team
- 4. Branch Network
- 5. Employee banking
- 6. Tele Sales
- 7. Digital Channels
- 8. Staff Get Member

### m) Value Proposition

JS Bank Renewable Energy & Green Financing is a trusted brand name in the market and since inception has remained an active player in the industry. It offers a whole range of both generic & unique features which makes it a competitive product in the market. It progressed over the years with many new initiatives to cope with the emerging market needs and establish a top brand.

Following propositions are offered as applicable.

1. Co-borrower option for improved eligibility
2. Competitive pricing
3. Fixed, Variable and Hybrid rate Options
4. Risk based pricing benefiting good credit histories.
5. High Equity contribution benefits
6. Low-cost Insurance
7. Early and partial payment options

## B. PRODUCT FEATURES

### a) Applicable SBP PRs

All SBP advice in Home Finance PRs (for Residential), SME PRs & Agri Finance PR (amendments, additions, revisions, guidelines, and Schemes, etc.) and SBP Schemes issued from time to time will automatically become part of the relevant products' program & SOP documents for adoption.

AML / CFT / CPF regulation will be followed, CDD of the customer shall be performed as per the Bank's AML/CFT/CPF & CDD Policy's

Any material changes to product paper should be brought up to IRMC members for review and approval. Whereas, any cosmetic changes related to reporting and information management be automatically approved and incorporated in the product program.

### Finance Amounts

| Criteria | Product             | With Collateral Amount (Million) | With Extra Security / Collateral Amount (Million) |
|----------|---------------------|----------------------------------|---------------------------------------------------|
| Minimum  | GharApna            | 0.3                              |                                                   |
|          | Smart Roshni (SBP)  | 0.5                              |                                                   |
|          | PMYB&AIS            |                                  |                                                   |
|          | Tier 1              | -                                |                                                   |
|          | Tier 2              | 0.5                              |                                                   |
|          | Tier 3              | 1.5                              |                                                   |
|          | SAAF                | 0.5                              |                                                   |
|          | Agri Energy Finance | 0.5                              |                                                   |
| Maximum  | GharApna            | 7                                | 10                                                |
|          | Smart Roshni        | 10                               | 400                                               |

|  |                     |     |   |
|--|---------------------|-----|---|
|  | (SBP)**             |     |   |
|  | PMYB&ALS***         |     |   |
|  | Tier 1              | 0.5 |   |
|  | Tier 2              | 1.5 |   |
|  | Tier 3              | 7.5 |   |
|  | SAAF                | 10  |   |
|  | Agri Energy Finance | 5   | 7 |

\*As per SBP's Renewable Energy Scheme there is cap on 400 million under category II. In SAAF maximum cap is 10 million.

\*\*Under Renewable scheme category II

\*\*\*In PMYBALS the amount is categorize in 3 tiers. However, as per internal credit & risk controls, product wise max finance amounts for all variants will be as tabled above.

**b) Number of facilities**

Customer can avail maximum 2 finances at a time subject to affordability and satisfactory credit history of existing facilities with the Bank and industry.

**c) Finance Tenors**

Financing tenors will be allowed as per respective PRs and SBP Schemes, however, under internal control parameters, following will be generally applied:

| Criteria       | Products / Variants | Tenor |
|----------------|---------------------|-------|
| <b>Minimum</b> | GharApna            | 3     |
|                | Smart Roshni        |       |
|                | Agri Energy Finance |       |
|                | PMYB&ALS            |       |
|                | Tier 1              | -     |
|                | Tier 2              |       |
|                | SAAF                | 1     |
| <b>Maximum</b> | GharApna            | 7     |
|                | Smart Roshni*       | 7     |
|                | Agri Energy Finance |       |
|                | PMYB&ALS            |       |
|                | Tier 1              | 3     |
|                | Tier 2 & 3          | 7     |
|                | SAAF                | 5     |

\*Under Smart Roshni – Standard rate, max tenor will be 10 Years.

**Renewable Energy-Category II** Grace period up to 3 months.

**GCF:** Tenor of Financing in all segments/variants will be up to 7 Years in view of Credit Risk Coverage and terms of agreement.

**d) Tenor Enhancement**

Every customer can avail finance up to maximum eligible tenor, he may in the interim opt shorter tenure but can avail remainder of the eligible tenor anytime in the future, total duration of finance

should in no way exceed max tenure allowed under relevant SBP PRs and Schemes. Relaxation through extension of tenor under regular repayment conditions will not be considered as restructuring.

**e) Loan to Value / Equity**

| Product     | Variants              | LTV   |
|-------------|-----------------------|-------|
| Residential | GharApna*             | 80:20 |
| SME         | Smart Roshni          |       |
| Agriculture | Agri Energy Finance** | 90:10 |

:\*For GharApna – NTI (New to Industry) customers it will be 70 :30

For Financing over 6 Mn LTV to be 70:30

\*\*Tube well boring expenses will be paid by the customer and not part of equity.

**JS Agri Finance – Margin on Real Estate**

- i. 50% on ASV (Average Sale Value) of agricultural land
- ii. 30% on PIU (Produce Index Unit) value of Agri land
- iii. 40% on rural/ urban property (Through bank approved evaluator) as additional security (where required) to be created prior to disbursement of finance or any other security acceptable by the Bank or prescribed by SBP.

SBP Schemes: As per relevant Scheme criteria, amended from time to time.

**f) Security & Collateral****RESIDENTIAL**

- i) Hypothecation of Renewable energy solution in favor of JS Bank
- ii) Personal guarantee, including the net worth statement.
- iii) 3 postdated cheques.

Systems will have remote access and a “best effort” basis buy back agreement in place with the respective.

**SME**

- i) Hypothecation of Renewable energy solution in favor of JS Bank.
- ii) Collateral against the facility exceeding PKR 10 million may be Agri-passbook, land, and/or any other tangible security/collateral acceptable to the Bank’s policy.
- iii) Installment Cheques

Systems will have remote access and a “best effort” basis buy back agreement in place with the respective vendors.

**AGRICULTURE**

- i) Bank’s charge on agricultural land/ rural or urban property.
- ii) Installment Cheques.
- iii) Personal guarantee (where applicable)

**GCF - Additional**

- i) Personal guarantee including the net worth statement of the borrowers is a mandatory requirement.
- ii) The renewable solution financed under the product would be hypothecated with JS Bank during the tenor of the finance.
- iii) 3 post-dated cheques would be taken from the customer, with cheque dated 1st January for the next 3 subsequent years.
- iv) Under PDSP, JS Bank will only recommend Vendors with buyback clause to customers. In case the customer is selecting energy installer that is not listed on JS Bank's solution or if there is no buyback agreement on solar solution in place with the vendor, then the requirement of collateral is mandatory against such financing cases that may be Agri-passbook, land, and/or any other tangible security/collateral including property documents, DSC, SSC, TDR & Cash Collaterals

**g) Vendor Onboarding**

Financing will be done through respective renewable energy solution vendors onboarded with JS Bank for facilitation. Under renewable finance facilitation, for On Grid Solar solutions it shall be mandatory to have live monitoring remotely aspect available. Vendor onboarding will be managed by EAMU Department.

**h) Co borrower**

Customers are allowed to add co-borrower to the financing for the purpose of

- 1. Clubbing of Income(s)

Blood Relations (except married sisters) and Spouse will be allowed as coborrowers for structuring the finance facility.

**i) Pricing Strategies**

Pricing is strictly based on the competition analysis, customer profile, internal cost of funds, sales targets, product profitability and margins. Following pricing rate options may be used for offering pricing to customers:

➤ **Floating / Variable Rate:**

Variable rate will constitute of:

Base Rate (KIBOR) *plus* Bank's Margin (Risk based)

➤ **Fixed Rate:** 1-3 Year Rollover Rate (Fixed for 1-3 Years, Re-priced after end of every 1<sup>st</sup> or 3<sup>rd</sup> year, depending on fixed rate tenor).

➤ **Hybrid Rate** (Fixed for First 1-3 Years, moving to Floating rate post completion of 1-3<sup>rd</sup> year, and re-priced on each facility anniversary on floating rate from year 2-4 depending on fixed rate tenor.)

Floating / Variable rate will be based on KIBOR with options to choose between 6 Months and 1 Year base. This will continue till settlement/adjustment of finance facility.



For the purpose of mid-term fixed rate options, Bank can use facilitation options offered by PRMC and other lenders.

Risk based Pricing - Bank's margin structure will be applied and can be changed by GH – Retail / Head of Products based on feedback/suggestions from Business and Risk.

Rate breaks will be allowed as per applicable delegated authorities defined by CEO.

**SBP Schemes** - As per specific scheme terms / guidelines amended from time to time.

- **PMYB&Als:** The markup rate for end user under the scheme is categorize in 3 tiers.
  - Tier one is 0% per annum
  - Tier 2 is 5% per annum
  - Tier 3 is 7% per annum
- **SAAF:** Mark-up rate for end user under the scheme will be of up to 9 percent per annum.
- **Renewable Energy:** During the duration of facility disbursement until approval from SBP for the refinance facility, mark-up rate of 1 Month KIBOR + 2% (floating) per annum would be applicable. This is according to industry practice & in line with State Banks PRs & Renewable Energy in Category II.

| Rate of Refinance | Bank's Spread | End User's Rate |
|-------------------|---------------|-----------------|
| 2.00%             | 4.00%         | 6.00%           |

**GCF-** Above applicable pricing will be applied. i.e., Standard KIBOR based or under SBP Schemes

**j) Finance repayment**

This is a medium to long term finance facilitation whereby buy back price will be repaid by customer through equal monthly/quarterly installments (EMI). The installments may vary with repricing under variable / hybrid pricing options based on change in base rate i.e. KIBOR.

**GharApna:** Equal Monthly Installments

**Renewable Energy-Category II** Grace period up to 3 months.

**SME:** Grace period of up to a maximum of three (3) months in principal payment only as per business recommendation and should be approved by respective approving authorities as per policy and credit approving authorities. Equal monthly/quarterly installments.

**Agri Energy Finance:** Equally Quarterly Installments

**k) Insurances**

Energy Solution(s) to be insured through Bank arrangement, however, where borrower offers his own insurance policy covering bank requisite risks covered; same may be accepted. 1st year premium will be paid in advance and subsequent years premium will be collected in preceding years instalments.

**l) Non Target Professions**

1. Lawyers
2. Journalists/Anchors. All other media related person can be entertained at 40% equity
3. Law Enforcements Agencies
4. Non-IATA Travel Agency Owners
5. Collection / Recovery Officer for Banks
6. Money Changers / Brokers
7. Media Personalities (Only Anchors and Journalist should fall under this Category)
8. Public Transporters (Excluding Goods transporters)
9. Real Estate Agents that are not our branch deposit customers.
10. Sales Officer Primarily based on incentives.
11. Auto Dealers and Rent A Car business
12. Arms & Ammunition Dealers

JSBL Branch customers with at least 6 months of depository relationship and having 12 months of bureau relationship shall be exempted from this.

**m) Non-Targeted Areas**

Property being financed / Collateral should not be in the non-target areas, list of such areas will be maintained & shared with product and business by consumer risk. Any addition/deletion in areas list can be made with joint approval of Business Head Consumer Banking, CAD and Head of Consumer Risk.

**n) Approval In Principle**

An “Approval In Principal (AIP)” may be conveyed to customers (earlier termed as Conditional Offer Letter for Home Finance only) based on basic documents and information provided by the customer to assess his financing eligibility.

This intimation will be given after basic due diligence e.g. Verisys, e-CIB but before Verifications and FRMU checks to ensure competitive Turn Around Time (TAT) and cost savings on probable decline cases.

A standard conditional letter drafted and vetted by Legal and CAD will be issued to customers.

**o) Fees and Charges**

All Fees and charges will be applicable as per prevailing Schedule of charges.

**C. ELIGIBILITY CRITERIA:**

**Basic Eligibility:**

All customers must be Pakistani nationals with valid National Identity Card (SNIC/CNIC/NICOP).

**Pakistan Origin Card (POC)** holders may also be facilitated, subject to following:

1. Compliance of AML/CFT requirements.
2. Purpose of borrowing must be clear, legitimate and duly documented.
3. The loan shall be liquidated by the borrower through remittances from abroad in foreign

exchange through normal banking channels or by debit to their repatriable PKR and foreign currency accounts which must be fed through foreign remittances.

4. Sale proceeds of property, moveable or immovable, created from such lending shall not be eligible for repatriation, unless otherwise allowed by SBP through general or specific permission.

### **Customer Segments**

**Residential** Any Individual(s) in their individual capacity for their domestic residential purposes based on all sources of Income.

**SME** Businesspersons, Professionals and Other entities engaged in commercial and/or industrial, and/or welfare activity will be eligible for availing facilitation for generating electricity for commercial consumptions.

**Agri Energy Finance** All Individuals or Entities engaged in Agricultural or Agri-Sector related activities.

Residence and farm of customer must be within 30kms from the designated branch.

Agri. landowner must have a valid Agricultural Passbook in his name.

Residence and farm of customer must be within 30kms from the designated branch, exception(s) will require recommendation of RMAC, DGM, HOAC and to be approved by the HOACR.

Must be a permanent resident of the area.

Farmers who are owners of minimum 5 acres' agricultural land and can offer agricultural land, rural, urban (commercial/residential) property as security.

Within non-farm sector and agro-based industries, any customer wishes to install renewable energy equipment for generating electricity for their usage, all components / related equipment will be financed under this facility.

### **Self-Owned & Rented Properties**

All Customers must be owners of properties on which energy solution is being installed.

**Residential / Agri** Residential property owned by Spouse or blood relative of the applicant, the owner(s) will provide NOCs in favor of applicant on a Stamp Paper and need not become co-borrower.

**SME / Agri** If the premises is rented/ leased an NOC would be required from the

owner in favor of applicant on a stamp paper.

**Segment wise customer Age: (For Residential only)**

| Segment                            | Minimum      | Maximum * |
|------------------------------------|--------------|-----------|
| <b>Residential</b>                 |              |           |
| Salaried**                         | 27 Years     | 60 Years  |
| Self Employed Professional (SEP)   |              | 65 Years  |
| Self Employed Businessperson (SEB) |              |           |
| Others                             |              |           |
| Co borrower                        | 23 Years     | Nil       |
| Clubbing Income                    |              |           |
| <b>SME***</b>                      | 25 Years     | 60 Years  |
| <b>Agriculture</b>                 | <b>*****</b> |           |

\*Age at the time of maturity

\*\* Where retirement age confirmation is not available, it will be treated as 60

\*\*\*PMYB&ALS eligible age at the time of loan application will be 21 to 45 Years. (For I.T/ E-Commerce minimum age is 18 Years.)

\*\*\*\* Applicant's age should range between 18 years to 75 years (at the time of maturity). In case the age is below 24 years, guardian, or close major male relative to be obtained as Guarantor.

If age exceed 65 years on expiry of finance, a male major legal heir or a close male relative or a credit worthy account holder of JS Bank may be taken as Guarantor (additional security) in addition to taking him as Co-borrower (joint account to be opened).

Any exception in the maximum age limit of 75 years shall require recommendation of Regional Manager Agri Credit, Deputy General Manager, Head of Agri Credit, Group Head, Head of Agri Credit Risk and finally approved by the Chief Risk Officer.

**Segment wise Employment / Activity / Business requirement**

Total minimum experience required in each segment is as follows, this can be proven by customer through any document:

| Segment                            | Years   |
|------------------------------------|---------|
| <b>Residential Customers</b>       |         |
| Salaried                           | 2 Year  |
| Permanent                          |         |
| Contractual                        |         |
| Self-employed Professional (SEP)   | 2 Years |
| Self-employed Businessperson (SEB) |         |
| <b>SME Customers</b>               | 1 year  |

**Minimum Income**

Segment wise monthly gross minimum income requirement is as follows:

| Segment For Residential | Up to 5 KW | Above 5 KW |
|-------------------------|------------|------------|
| Salaried                |            |            |

|                               |           |           |
|-------------------------------|-----------|-----------|
| Permanent                     | 75,000/-  | 100,000/- |
| Contractual                   | 100,000/- |           |
| Employee Banking              | 75,000/-  | 100,000/- |
| Govt. Officers                |           |           |
| Forces Officers               |           |           |
| JS Group Staff                |           |           |
| <b>Self Employed</b>          |           |           |
| Professional (SEP)            | 75,000/-  | 100,000/- |
| Businessperson (SEB)          | 100,000/- |           |
| Others (Rental, Pension, etc) | 100,000/- |           |

### Income Constituents

Income from all sources will be included, max income drawn from any source will determine customer segment for financing aspects applicability.

### Income Treatments & documentation Requirement

Segment wise documentary requirement from the customers is as follows:

| Customer Segment   | Treatments                                                                                                                                                                                                                                                                                                              | Documents                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
|--------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| All Customers      |                                                                                                                                                                                                                                                                                                                         | <ol style="list-style-type: none"> <li>1. Duly filled in Application form</li> <li>2. Copy of CNIC/NICOP</li> <li>3. 2 passport size photographs</li> <li>4. Any current utility/telco bill (reflecting Home &amp; Office addresses) – duly paid.</li> <li>5. SBP specified formats (<i>separately if not covered in Application form</i>)</li> <li>6. Vendor quotation</li> </ol>                                                                                                                                                                                                                                                                                                                                              |
| <b>Residential</b> |                                                                                                                                                                                                                                                                                                                         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| Salaried           | <p>Source and quantum of income will be determined through documentary evidence.</p> <p>For EB, MNC's, Govt officers and other high-end relationships these will be restricted.</p> <p>➤ <u>Salary:</u> Monthly Gross</p> <p>➤ <u>Commission:</u> Average of min 6 months</p> <p><u>Bonus / LFA:</u> Fixed Bonuses:</p> | <p>Any 2 of the following:</p> <ol style="list-style-type: none"> <li>1. Any document confirming employment e.g., Employment Letter, Increment Letter, Promotion letter, Office Card, etc.</li> <li>2. Salary slip / Certificate</li> <li>3. Fixed; 3 months Bank statements</li> <li>4. Variable; 6 months Bank statements</li> </ol> <p>If employment letter is showing salary details, then salary slip/salary certificate is not required.</p> <p>1 &amp; 3 above not required for Employee Banking</p> <p><u>Bonuses, LFA, Commission,</u></p> <ol style="list-style-type: none"> <li>1. 6-month Bank statement reflecting Commission</li> <li>2. Employer's advice / letter for Bonus/LFA OR Bank Statement(s)</li> </ol> |

|                               |                                                                                                                                                                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
|-------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                               | <p>100% to be considered.</p> <p><u>Variable Bonuses:</u><br/>100% of the 2 years average to be considered.</p> <p>Net Income will be considered for DBR calculation</p> | <p>portions reflecting credits.</p> <p>3. Fixed bonus to be considered @100% and variable bonus 100% of the 2 years average to be considered.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| Self Employed Professionals   | This segment has potential for all 4 sources of income i.e. Salary, professional, business and others.                                                                   | <p>If salary income – above requisites, as applicable</p> <p>Professional income</p> <ol style="list-style-type: none"> <li>1. Profession certificate</li> <li>2. Professional Income payment proofs, if any.</li> <li>3. 6 Months Bank Statement</li> </ol> <p>Business Income – As per SEB requirements</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| Self Employed Businesspersons | Income will be determined on basis of any documentary proof or estimation through proxy models like bank proxy & income estimation.                                      | <p>Either of following:</p> <ol style="list-style-type: none"> <li>1. Audited Accounts</li> <li>2. Income Tax Return</li> <li>3. 12 Month Bank Statements</li> <li>4. Business status proof               <ol style="list-style-type: none"> <li>1. Sole proprietor – Sole Proprietor letter or Bank Letter</li> <li>2. Partnership – Deed</li> <li>3. Limited Company – Letter of Incorporation and Form 29</li> </ol> </li> </ol> <p>If quantum of income from above, do not suffice then Income Estimation(s) is to be conducted through external service providers.</p> <p>Where Finance amount exceeds Rs. 50 Mln, 2 Income Estimations are to be conducted and average of the 2 reports will be considered.</p> <p>Income Estimation report(s) with min 80% confidence level will be acceptable and considered.</p> |
| Others                        | Income will be                                                                                                                                                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |

|  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
|--|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|  | <p>determined on basis of any relevant documentary proof.</p> <p>Pension Income<br/>Pension income for the pensioner or successor will be used for evaluating eligibility</p> <p>Rental Income<br/>based on evidence of ownership of rented property(ies) and rental income proof</p> <p>Agri Income<br/>Where agree income from cultivation activity is considered, assessment through Agri Finance officer/team will be done internally.</p> <p>Remittances<br/>6 months average remittance which is coming from immediate family members (Spouse, Children &amp; Parents) of applicant</p> <p>Saving Certificates / Fixed Deposits Profit with JS Bank:<br/>Consideration of 100% of profit on deposit (net of tax) through reflection in Bank Statement from last 1 year</p> | <p>Pension Income</p> <ol style="list-style-type: none"> <li>1. Proof of pension received.</li> <li>2. 3 months Bank statements</li> </ol> <p>Rental Income</p> <ol style="list-style-type: none"> <li>1. Any title document of property (ies) for which rental incomes is claimed.</li> <li>2. A rent agreement evidencing rental arrangement.</li> <li>3. 6 months Bank statement as a proof of net worth</li> <li>4. Rent should be reflected in Bank statement.</li> </ol> <p>Agri Income</p> <ol style="list-style-type: none"> <li>1. Agriculture Pass Book</li> <li>2. Agri income proof</li> </ol> <p>Remittances</p> <ol style="list-style-type: none"> <li>1. Evidence of remittances received.</li> </ol> <p>Saving Certificates / Fixed Deposits Profit with JS Bank:</p> <ol style="list-style-type: none"> <li>1. Copies of certificates</li> <li>2. Bank statement for profit on deposits / Bank certificate of profit</li> </ol> |
|--|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

|                                 |                                                                                                                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
|---------------------------------|-------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                 |                                                                                                                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
| <b>SME (Additional)</b>         |                                                                                                                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
| All Customers                   | Income will be determined on basis of any documentary proof or estimation through proxy models like bank proxy & income estimation. | <ol style="list-style-type: none"> <li>1. NTN</li> <li>2. Audited Accounts</li> <li>3. Income Tax Return</li> <li>4. 12 Month Bank Statements</li> <li>5. Business status proof <ul style="list-style-type: none"> <li>○ Sole proprietor – Sole Proprietor letter or Bank Letter</li> <li>○ Partnership – Deed</li> <li>○ Limited Company – Letter of Incorporation and Form 29</li> </ul> </li> </ol>                                                                                                                                                                                       |
| <b>AGRICULTURE (Additional)</b> |                                                                                                                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
| All Customers                   |                                                                                                                                     | <ol style="list-style-type: none"> <li>1. Agri Passbook/ property documents of rural/ urban property as additional security (if required).</li> <li>2. Fard Jamabandi.</li> <li>3. Copy of Khasra Girdawri (ONLY applicable for Renewable Tubewell and Drip Irrigation)</li> <li>4. If Renewable equipment is for tube well for agricultural farm, sweet water testing report is required – water fit for irrigation purposes. For non-farm, this requirement of sweet testing report is not applicable and copy of Khasra Girdawri will not be required from Non-Farm borrowers.</li> </ol> |

### **Income Estimation**

Concept of Income Estimation is to cover complete business volume i.e., both cash and bank-based transaction of the customer activity to gauge realistic business turnover estimates enabling better view of the size of business and cash flows. Where Income Estimation is done other requirements like Bank Statement, tax returns, etc will not be required.

### **Credit Reports**

Bank will comply with SBP PRs requiring of arranging Credit Bureau reports, these can be obtained from any Credit Bureau licensed for the purpose by SBP. All valid facilities will be reviewed and considered for delinquencies and DBR calculation.

### **Debt Burden – For Residential Cases only.**

Bank will comply with SBP PRs requiring NDI/DBR ratio of up to 50% or assessing customer affordability, repayment ability and capacity. For residential max capping of DBR is 50%.

Bank may use a tightened criterion of applying lower DBR ratios based on credit history, customer segment, locations, etc. These will be managed through an internal understanding of



Risk, Product and Business departments and can be reviewed from time to time.

**SME:** No requirement.

**Agriculture:** Debt – Burden Ratio will range from minimum 20% to maximum 50% depending upon the cash flows & e-CIB report of the customer as per the directives of SBP and internal bank credit policy.

#### **Credit Bureau History Checks For Residential Cases**

- I. Presently current in all products. Customer showing delinquent to be considered if payment deposit slip is provided.
- II. Not more than twice in 30 DPD in Last twelve months
- III. Not more than once in 60 DPD in Last twelve months
- IV. Never in 90 DPD in last 12 months.
- V. Up to PKR 10,000 amount in delinquency will be processed under normal criteria

#### **Default / Write-off Check For Residential Cases**

Both time and amount materiality's will be considered while reviewing defaults and write offs. Cases with following scenarios will be treated as normal provided that they are current in their existing facilities:

- I. Any amount where default/write off is 5 or more than 5 years old
- II. Default / Write off or up to Rs. 15,000 between 3 to 5 years old.
- III. No clearance letter will be required for these 2 situations.

#### **Politically Exposed Persons (PEP)**

Product is subject to all applicable SBP & other regulator's guidelines/instructions including internal instructions/policies issued by bank from time to time.

### **D. RISK ACCEPTANCE CRITERIA – Deviation Matrix**

#### **RESIDENTIAL CUSTOMERS**

| GharApna                                      |                                                                     | Min Approving Authority |           |
|-----------------------------------------------|---------------------------------------------------------------------|-------------------------|-----------|
| Deviation                                     | Description                                                         | Recommendation          | Deviation |
| Age                                           | Relaxation in Age – Up to 5 Year                                    | NA                      | Level 2   |
| e-CIB History                                 | Thrice in 30 DPD, twice in 60 DPD & once in 90 DPD in Last 12months | NA                      | Level 2   |
|                                               | Bad history other than highlighted in the above two points.         | NA                      | Level 1   |
| Min Income                                    | < PKR 5,000 in gross income                                         | Business Head           | Level 3   |
|                                               | > PKR 5,000 up to 10,000 in gross income                            | NA                      | Level 2   |
| Length-of Employment - current and continuous | up to 12 months                                                     | Business Head           | Level 2   |

## Product Program – Renewable Energy & Green Financing

|                       |                                 |               |         |
|-----------------------|---------------------------------|---------------|---------|
| Length of Business    | Up to 6 months                  | NA            | Level 3 |
|                       | up to 12 months                 | NA            | Level 2 |
| Write-Off Check       | Deviation to defined criteria   | NA            | Level 2 |
| Non-Target Area       | Property in Non-Targeted Area   | Business Head | Level 2 |
| Non-Target Profession | If a profession is Non-Targeted | Business Head | Level 2 |

### Note:

Where the customer is contributing 50% or more equity/margin into the financing, all deviations will be referred to 1 step down level with no L3 requirement.

## SME CUSTOMERS

| Smart Roshni               |                                                                                                           | Min Approving Authority             |           |
|----------------------------|-----------------------------------------------------------------------------------------------------------|-------------------------------------|-----------|
| Deviation                  | Description                                                                                               | Recommendation                      | Deviation |
| Delinquencies              | Not more than twice in 30 DPD, or once in 60 DPD, or once in 30 DPD and once in 60 DPD, in last 12 months | Distribution / Retail Banking / SME | Level 2   |
| Tenure                     | Under Standard Financing: Financing Tenure of above 7 Years                                               |                                     | Level 2   |
| Equity                     | Equity less than required levels (up to 5%)<br>Equity in no case should be less than 15% except SAAF      |                                     | Level 2   |
| Pricing                    | Discount of Up to 100 bp                                                                                  |                                     | Level 2   |
| Age of Business relaxation | 12 months and above<br>Less than 12 months                                                                |                                     | Level 1   |
| Processing Fees            | Relaxation/Reduction in Charges / Fees up to 50%                                                          |                                     | Level 2   |

## E. DEVIATIONS

| Risk Acceptance Criteria Deviation Signing Authorities                                                                                                              | Maximum Level |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------|
| Head of Products & Analytics <b>and</b> Chief Risk Officer (CRO)                                                                                                    | Level 1 *     |
| Head of Products or Distribution Head – Retail Products / Head of SME Business and Head of Program Risk Management & SAM                                            | Level 2**     |
| Head of Consumer Lending / Head of SME Lending / Head of Payment Services & ADC and Head of Credit Policy, Consumer and SME Program Lending / Credit Approvals Head | Level 3       |

\* In absence of any one of these, defined delegated powers or powers defined in Out of Office message will apply

\*\* Out of policy approvals will also be reviewed and approved by Level 1.

## Product Program – Renewable Energy & Green Financing

In absence of any one of these, defined delegated powers or powers defined in Out of Office message will apply.

- No Financing No finance transaction will be approved with more than 3 deviations.

### F. PORTFOLIO CAP

| Solar Finance Segments (As of 30th June, 2024) |            |               |             |             |              |             |                    | CAPs      |        |
|------------------------------------------------|------------|---------------|-------------|-------------|--------------|-------------|--------------------|-----------|--------|
| Segment<br>(Rs in Mln's)                       | Cases      | ENR           | ENR %       | Ticket      | NPL<br>Cases | NPL         | Infection<br>Ratio | Watchlist | Hold   |
| Approved Companies                             | 184        | 164.35        | 20%         | 1.19        | 1            | 0.18        | 0.11%              | 8.00%     | 10.00% |
| Armed Forces                                   | 12         | 12.83         | 2%          | 1.24        |              |             |                    | 8.00%     | 10.00% |
| EB                                             | 20         | 22.33         | 3%          | 1.49        |              |             |                    | 6.00%     | 8.00%  |
| GOP                                            | 49         | 39.68         | 5%          | 1.10        |              |             |                    | 8.00%     | 10.00% |
| Self Employed Profession                       | 1          | 0.11          |             | 0.96        |              |             |                    | 8.00%     | 10.00% |
| Self-employed - ETB                            | 94         | 82.50         | 10%         | 1.35        |              |             |                    | 8.00%     | 10.00% |
| Self-employed - NTB                            | 215        | 297.84        | 36%         | 1.82        | 4            | 5.97        | 2.00%              | 8.00%     | 10.00% |
| UnApproved                                     | 176        | 160.89        | 19%         | 1.24        |              |             |                    | 8.00%     | 10.00% |
| <b>Solar Finance - Total</b>                   | <b>804</b> | <b>831.97</b> | <b>100%</b> | <b>1.39</b> | <b>6</b>     | <b>6.43</b> | <b>0.77%</b>       |           |        |

### G. SUPPORT DEPARTMENTS: BRIEF ROLES & RESPONSIBILITIES

Support departments roles, responsibilities and processes will be as per their respective manuals, brief of these are as follows:

#### Product

Department's primary role will be to structure, review and update the Product Program on the prescribed review period as well as in interim based on regulatory changes, market dynamics changes or strategical focus change. Product team is to enable business teams through marketing campaigns, sales incentivization and stakeholder's coordination's for efficient activity and turn around times while keeping in mind the P&L impacts.

#### Sales / Distribution

These represent the font end customer interacting and customer engaging teams, they are responsible to solicit sales by advising features & eligibility aspects of the finance product to the customer in light of policy guidelines, satisfy their queries and onboard them.

Following will be the main functions of this department,

- Initial Pre-screening: Evaluate customer according to Policy Criteria
- Provide tentative Sheets to the customer.
- Completion of Application and related documents
- Customer coordination at each Stage

- Signing of Application
- Initial and Credit review
- Execution of Legal Documentation
- Disbursement
- Coordination with related stake holders for smooth processing of case

### **Sales Processing Unit (SPU)**

Acts as a vital first checkpoint for various financial product applications, including loans, credit cards. They analyze applications against established criteria such as basic customer eligibility, and document completeness before initiating cases on EuroNet/LOS (WRA). Their deep understanding of financial products and compliance regulations, coupled with expertise in the system, enables them to identify deficiencies early on. These are promptly communicated to sales channels through detailed reports and real-time notifications, ensuring swift resolution and complete applications. This proactive approach minimizes delays, enhances efficiency, and ultimately contributes to a smoother approval process for both customers and sales teams.

### **Credit Initiation Unit (CIU)**

CIU is responsible for assessing the creditworthiness of consumer loan applications through qualitative and quantitative analyses. The unit ensures compliance with credit policies, both external (such as SBP consumer protection guidelines) and internal. The limit approver evaluates the applicant's ability to repay by scrutinizing income sources, verifies provided information and documents, reviews credit checks, and ensures the credit application aligns with established policies. Overall, the CIU plays a crucial role in making informed credit decisions to manage risk effectively.

While reviewing and approving the credit application, limit approver assesses the following:

1. Qualitative and Quantitative Analysis - This involves assessing various aspects, including the applicant's financial situation, credit history, and other relevant factors
2. Credit Decision Process - This involves considering the results of the analysis and determining whether the applicant meets the credit criteria
3. Assessment of Repayment Ability - This is crucial in determining whether the applicant has the financial means to meet the repayment obligations.
4. Document Verification - This step is essential for maintaining the integrity of the credit approval process.
5. Review of Credit Checks - This involves assessing the applicant's credit history and any other relevant financial information to gauge their creditworthiness.
6. Adherence to Credit Policies - This includes compliance with both external regulations, such as those set by the State Bank of Pakistan (SBP) for consumer protection, and internal policy parameters established by the lending institution.

### **External Agency Management & Verification Unit**

Department is responsible for onboarding & managing all external service providers like, verifications, income estimations, valuations, legal support, etc. Services provided by external service providers are channeled through the EAMU/CIU for quality control while maintaining efficient TATs.

### **Fraud Risk Management Unit (FRMU)**

Department's prime role is to evaluate fraud risk and take a decision. FRMU mainly deals in

Prevention, Detection and Control of fraudulent losses. If no proper preventive or control measures are taken substantial fraud losses may occur to an extent that may undermine the profitability of the business.

#### **FRMU - Vigilance**

We are responsible for eyeballing and vigilance of cases and approvals given on LOS for progress, however in case investigation is required on any case the same is forwarded to FRMU for investigation.

#### **Credit Administration Unit (CAD)**

CAD is distributed into 2 departments:

- a) CAD – Documentation
- b) CAD – Operations

##### CAD - Documentation

Department's prime role is to evaluate Collateral risk, security perfection, monitoring and legal documentation. After credit approval, CIU sends the file to CAD for processing of charge documents. Documentation team scrutinizes the application for completeness and required documents. If everything is in order, Documentation Officer prepares Facility Offer Letter and Charge documents for customer signatures. It also issues Disbursement Authorization Certificate (DAC) and sends to CAD Operations.

##### CAD – Operations

Department's prime role is to disburse a finance facility, handle all post disbursements, operations of the facility till maturity/settlement, settlement and release of collateral, etc after reviewing DAC except GOLD financing and Consumer Loans. Also circulates overdue reporting product wise / markup claim submission of markup sharing products to SBP/ Loss claim submission to SBP, Refinance loans disbursement and monitoring.

##### CAD – MIS & Limit Implementation

Unit's prime role is managing all External / Internal Reports (excl. Consumer & Credit Cards) which mainly includes pan Bank eCIB Reporting, NPL report, Overdue Report(PAN Pakistan) and Portfolio Management. The Unit also responsible to input the limit in the system upon receipt of DAC from CAD – Documentation, & proceeds with disbursement of facility.

In SBP Refinance cases, all aspects of refinance approval, operation and monitoring will be done by CAD and shared with Product and Management for regular review.

#### **Collection & Recovery (C&R) and SAM**

Collection Unit: Department's prime responsibility will commence from the time an account becomes delinquent or is routed in the collection's queue, until it is regularized by means of payment or closed with full payment of the outstanding amount and the goal of the Collection department is to obtain payments promptly, while minimizing collection's expense and write-off costs, as well as maintaining the customer's goodwill by a high standard of service.

Recovery Unit: Department's prime responsibility is to minimize JS Bank's losses. Recovery can initiate litigation against defaulted customers and subsequent follow-up of the court proceedings. For Skip accounts, they will focus on tracing the customer and try to bring him on

the negotiation table for settlement.

SAM department: will be engaged by C&R teams in respective cities for providing support on recoveries of all cases.

**Sustainable Finance for GCF Only:**

Department's primary role is of project management and launch through monitoring loan deployment under PDSP and reviewing financial and performance reports as well as annexures to annual performance reports to manage engagement with GCF as per Funded Activity Agreement ("FAA"). .

**H. GENERAL**

1. Product will design marketing collateral and run marketing campaigns to support sales/distribution teams achieve their targets. Marketing department will be engaged for all marketing related activities.
2. All risk aspects will be viewed as per Bank's strategic view, Internal risk policies & approach and will be approved by GH – Retail & CRO jointly for implementation.
3. All interim amendments will be incorporated in the relevant Product Program under the scheduled review process The Product Program will be implemented through adoption/amendment of respective department's SOP / process manuals.
4. SLA will be structured and supervised by Customer Experience department in consultation with respective department and consultation of Product team for ensuring efficient turnaround time (TAT) resulting in improved customer experience.
5. Changes & Additions / Deletions to internally managed features and eligibility thresholds will be done with mutual understanding of Product, Bossiness, Consumer Risk and CIU while case to case approvals beyond the applicable thresholds will require respective business head recommendation and 1 level up review at CIU/Risk and approval max up to the level of CRO.